

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 ENGROSSED SENATE
5 BILL NO. 2018

By: Thompson of the Senate

and

6 Kannady and **Schreiber** of
7 the House

8
9
10 An Act relating to ad valorem tax; amending 68 O.S.
11 2021, Sections 2802 and 2817, as amended by Section
12 1, Chapter 374, O.S.L. 2022 (68 O.S. Supp. 2025,
13 Section 2817), which relate to definitions and the
14 listing and assessment of taxable property; defining
15 term; prescribing valuation method for certain real
16 property for certain period; updating statutory
17 language; and providing an effective date.

18 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

19 SECTION 1. AMENDATORY 68 O.S. 2021, Section 2802, is
20 amended to read as follows:

21 Section 2802. As used in Section 2801 et seq. of this title:

22 1. "Accepted standards for mass appraisal practice" means those
23 standards for the collection and analysis of information about
24 taxable properties within a taxing jurisdiction permitting the
25 accurate estimate of fair cash value for similar properties in the
26 jurisdiction either without direct observation of such similar

1 properties or without direct sales price information for such
2 similar properties using a reliable statistical or other method to
3 estimate the values of such properties;

4 2. "Additional homestead exemption" means the exemption
5 provided by Section 2890 of this title;

6 3. "Assessor" means the county assessor and, unless the context
7 clearly requires otherwise, deputy assessors and persons employed by
8 the county assessor in performance of duties imposed by law;

9 4. "Assess and value" means to establish the fair cash value
10 and taxable fair cash value of taxable real and personal property
11 pursuant to requirements of law;

12 5. "Assessed valuation" or "assessed value" means the
13 percentage of the fair cash value of personal property, or the
14 percentage of the taxable fair cash value of real property, pursuant
15 to the provisions of Sections 8 and 8B of Article X of the Oklahoma
16 Constitution, either of individual items of personal property,
17 parcels of real property or the aggregate total of such individual
18 taxable items or parcels within a jurisdiction;

19 6. "Assessment percentage" means the percentage applied to
20 personal property and real property pursuant to Section 8 of Article
21 X of the Oklahoma Constitution;

22 7. "Assessment ratio" means the relationship between assessed
23 value and taxable fair cash value for a county or for use categories
24

1 within a county expressed as a percentage determined in the annual
2 equalization ratio study;

3 8. "Assessment roll" means a computerized or noncomputerized
4 record required by law to be kept by the county assessor and
5 containing information about property within a taxing jurisdiction;

6 9. "Assessment year" means the year beginning January 1 of each
7 calendar year and ending on December 31 preceding the following
8 January 1 assessment date;

9 10. "Circuit breaker" means the form of property tax relief
10 provided by Sections 2904 through 2911 of this title;

11 11. "Class of subjects" means a category of property
12 specifically designated pursuant to provisions of the Oklahoma
13 Constitution for purposes of ad valorem taxation;

14 12. "Code" means the Ad Valorem Tax Code, Section 2801 et seq.
15 of this title;

16 13. "Coefficient of dispersion" means a statistical measure of
17 assessment uniformity for a category of property or for all property
18 within a taxing jurisdiction;

19 14. "Confidence level" means a statistical procedure for
20 determining the degree of reliability for use in reporting the
21 assessment ratio for a taxing jurisdiction;

22 15. "Cost approach" means a method used to establish the fair
23 cash value of property involving an estimate of current construction
24 cost of improvements, subtracting accrued depreciation including any

1 loss in value that may be caused by physical deterioration,
2 functional obsolescence or economic obsolescence and adding the
3 value of the land.

4 a. Physical deterioration is a cause of depreciation that
5 is a loss in value due to ordinary wear and tear and
6 the forces of nature.

7 b. Functional or internal obsolescence is the loss in
8 value of a property resulting from changes in tastes,
9 preferences, technical innovations or market
10 standards.

11 c. Economic or external obsolescence is a cause of
12 depreciation that is a loss in value as a result of
13 impairment in utility and desirability caused by
14 factors outside the boundaries of the property or loss
15 of value in a property ~~(relative, relative~~ relative to the cost
16 of replacing it with a property of equal ~~utility)~~
17 utility, that stems from factors external to the
18 property;

19 16. "County board of equalization" means the board which, upon
20 hearing competent evidence, has the authority to correct and adjust
21 the assessment rolls in its respective county to conform to fair
22 cash value and such other responsibilities as prescribed in Section
23 2801 et seq. of this title;
24

1 17. "Equalization" means the process for making adjustments to
2 taxable property values within a county by analyzing the
3 relationships between assessed values and fair cash values in one or
4 more use categories within the county or between counties by
5 analyzing the relationship between assessed value and fair cash
6 value in each county;

7 18. "Equalization ratio study" means the analysis of the
8 relationships between assessed values and fair cash values in the
9 manner provided by law;

10 19. "Fair cash value" or "market value" means the value or
11 price at which a willing buyer would purchase property and a willing
12 seller would sell property if both parties are knowledgeable about
13 the property and its uses and if neither party is under any undue
14 pressure to buy or sell and for real property shall mean the value
15 for the highest and best use for which such property was actually
16 used, or was previously classified for use, during the calendar year
17 next preceding the applicable January 1 assessment date;

18 20. "Homestead exemption" means the reduction in the taxable
19 value of a homestead as authorized by law;

20 21. "Income and expense approach" means a method to estimate
21 fair cash value of a property by determining the present value of
22 the projected income stream;

23 22. "List and assess" means the process by which taxable
24 property is discovered, its description recorded for purposes of ad

1 valorem taxation and its fair cash value and taxable fair cash value
2 are established;

3 23. "Mill" or "millage" means the rate of tax imposed upon
4 taxable value. One (1) mill equals One Dollar (\$1.00) of tax for
5 each One Thousand Dollars (\$1,000.00) of taxable value;

6 24. "Multiple regression analysis" means a statistical
7 technique for estimating unknown data on the basis of known and
8 available data;

9 25. "Parcel" means a contiguous area of land described in a
10 single description by a deed or other instrument or as one of a
11 number of lots on a plat or plan, separately owned and capable of
12 being separately conveyed;

13 26. "Residential rental housing" means any single tax parcel
14 development or redevelopment that contains a building or buildings
15 with at least twenty individual rental units that are constructed
16 and used for multifamily housing or contains at least twenty housing
17 structures that are constructed for rental purposes, excluding any
18 development or redevelopment that has been allocated or that is
19 receiving the federal low-income housing credit provided pursuant to
20 26 U.S.C., Section 42. For the purposes of this paragraph,
21 "multifamily housing" shall mean residential buildings or complexes
22 that contain multiple separate units or dwellings intended for
23 occupancy by multiple families or households;
24

1 27. "Sales comparison approach" means the collection,
2 verification, and screening of sales data, stratification of sales
3 information for purposes of comparison and use of such information
4 to establish the fair cash value of taxable property;

5 ~~27.~~ 28. "State Board of Equalization" means the Board
6 responsible for valuation of railroad, airline and public service
7 corporation property and the adjustment and equalization of all
8 property values both centrally and locally assessed;

9 ~~28.~~ 29. "Taxable value" means the percentage of the fair cash
10 value of personal property or the taxable fair cash value of real
11 property, less applicable exemptions, upon which an ad valorem tax
12 rate is levied pursuant to the provisions of Section 8 and Section
13 8B of Article X of the Oklahoma Constitution;

14 ~~29.~~ 30. "Taxable fair cash value" means the fair cash value of
15 locally assessed real property as capped pursuant to Section 8B of
16 Article X of the Oklahoma Constitution;

17 ~~30.~~ 31. "Use category" means a subcategory of real property,
18 that is either agricultural use, residential use or
19 commercial/industrial use but does not and shall not constitute a
20 class of subjects within the meaning of the Oklahoma Constitution
21 for purposes of ad valorem taxation;

22 ~~31.~~ 32. "Use value" means the basis for establishing fair cash
23 value of real property pursuant to the requirement of Section 8 of
24 Article X of the Oklahoma Constitution; and

1 ~~32.~~ 33. "Visual inspection program" means the program required
2 in order to gather data about real property from physical
3 examination of the property and improvements in order to establish
4 the fair cash values of properties so inspected at least once each
5 four (4) years and the fair cash values of similar properties on an
6 annual basis.

7 SECTION 2. AMENDATORY 68 O.S. 2021, Section 2817, as
8 amended by Section 1, Chapter 374, O.S.L. 2022 (68 O.S. Supp. 2025,
9 Section 2817), is amended to read as follows:

10 Section 2817. A. All taxable personal property, except
11 intangible personal property, personal property exempt from ad
12 valorem taxation, or household personal property, shall be listed
13 and assessed each year at its fair cash value, estimated at the
14 price it would bring at a fair voluntary sale, as of January 1.

15 The fair cash value of household personal property shall be
16 valued at ten percent (10%) of the appraised value of the
17 improvement to the residential real property within which such
18 personal property is located as of January 1 each year. The
19 assessment of household personal property as provided by this
20 section may be altered by the taxpayer listing such property at its
21 actual fair cash value. For purposes of establishing the value of
22 household personal property, pursuant to the requirement of Section
23 8 of Article X of the Oklahoma Constitution, the percentage of value
24 prescribed by this section for the household personal property shall

1 be presumed to constitute the fair cash value of the personal
2 property.

3 Stocks of goods, wares, and merchandise shall be assessed at the
4 value of the average amount on hand during the preceding year, or
5 the average amount on hand during the part of the preceding year the
6 stock of goods, wares, or merchandise was at its January 1 location.
7 Provided, persons primarily engaged in selling lumber and other
8 building materials including cement and concrete, except for home
9 centers classified under Industry No. 444110 of the North American
10 ~~Industrial~~ Industry Classification ~~Systems~~ System (NAICS) Manual,
11 shall be assessed at the average value of the inventory on hand as
12 of January 1 of each year and the value of the inventory on hand as
13 of December 31 of the same year.

14 B. All taxable real property shall be assessed annually as of
15 January 1, at its fair cash value, estimated at the price it would
16 bring at a fair voluntary sale for:

17 1. The highest and best use for which the property was actually
18 used during the preceding calendar year; or

19 2. The highest and best use for which the property was last
20 classified for use if not actually used during the preceding
21 calendar year.

22 When improvements upon residential real property are divided by
23 a taxing jurisdiction line, those improvements shall be valued and
24

1 assessed in the taxing jurisdiction in which the physical majority
2 of those improvements are located.

3 The Ad Valorem Division of the Oklahoma Tax Commission shall be
4 responsible for the promulgation of rules which shall be followed by
5 each county assessor of the state, for the purposes of providing for
6 the equitable use valuation of locally assessed real property in
7 this state. Agricultural land and nonresidential improvements
8 necessary or convenient for agricultural purposes shall be assessed
9 for ad valorem taxation based upon the highest and best use for
10 which the property was actually used, or was previously classified
11 for use, during the calendar year next preceding January 1 on which
12 the assessment is made.

13 C. The use value of agricultural land shall be based on the
14 income capitalization approach using cash rent. The rental income
15 shall be calculated using the direct capitalization method based
16 upon factors including, but not limited to:

17 1. Soil types, as depicted on soil maps published by the
18 Natural Resources Conservation Service of the United States
19 Department of Agriculture;

20 2. Soil productivity indices approved by the Ad Valorem
21 Division of the Tax Commission;

22 3. The specific agricultural purpose of the soil based on use
23 categories approved by the Ad Valorem Division of the Tax
24 Commission; and

1 4. A capitalization rate to be determined annually by the Ad
2 Valorem Division of the Tax Commission based on the sum of the
3 average first mortgage interest rate charged by the Federal Land
4 Bank for the immediately preceding five (5) years, weighted with the
5 prevailing rate or rates for additional loans or equity, and the
6 effective tax rate.

7 The final use value will be calculated using the soil
8 productivity indices and the agricultural use classification as
9 defined by rules promulgated by the State Board of Equalization.
10 This subsection shall not be construed in a manner which is
11 inconsistent with the duties, powers, and authority of the Board as
12 to valuation of the counties as fixed and defined by Section 21 of
13 Article X of the Oklahoma Constitution.

14 However, in calculating the use value of buffer strips as
15 defined in Section 2817.2 of this title, exclusive consideration
16 shall be based only on income from production agriculture from such
17 buffer strips, not including federal or state subsidies, when valued
18 as required by subsection C of Section 2817.2 of this title.

19 D. The use value of nonresidential improvements on agricultural
20 land shall be based on the cost approach to value estimation using
21 currently updated cost manuals published by ~~the~~ Marshall and Swift
22 ~~Company~~ or similar cost manuals approved by the Ad Valorem Division
23 of the Tax Commission. The use value estimates for the
24 nonresidential improvements shall take obsolescence and depreciation

1 into consideration in addition to necessary adjustments for local
2 variations in the cost of labor and materials. This section shall
3 not be construed in a manner which is inconsistent with the duties,
4 powers, and authority of the Board as to equalization of valuation
5 of the counties as determined and defined by Section 21 of Article X
6 of the Oklahoma Constitution.

7 The use value of facilities used for poultry production shall be
8 determined according to the following procedures:

9 1. The Ad Valorem Division of the Tax Commission is hereby
10 directed to develop a standard system of valuation of both real and
11 personal property of such facilities, which shall be used by all
12 county assessors in this state, under which valuation based on the
13 following shall be presumed to be the fair cash value of the
14 property:

- 15 a. for real property, a ten-year depreciation schedule,
16 at the end of which the residual value is twenty
17 percent (20%) of the value of the facility during its
18 first year of operation, and
- 19 b. for personal property, a five-year depreciation
20 schedule, at the end of which the residual value is
21 zero;

22 2. Such facilities shall be valued only in comparison to other
23 facilities used exclusively for poultry production. Such a facility
24

1 which is no longer used for poultry production shall be deemed to
2 have no productive use;

3 3. During the first year such a facility is placed on the tax
4 rolls, its fair cash value shall be presumed to be the lesser of the
5 actual purchase price or the actual documented cost of construction;
6 and

7 4. For the purpose of determining the valuation of
8 nonresidential improvements used for poultry production, the
9 provisions of this subsection shall be applicable and such
10 improvements shall not be considered to be commercial property.

11 E. The value of investment in property used exclusively by an
12 oil refinery that is used wholly as a facility, device, or method
13 for the desulphurization of gasoline or diesel fuel as defined in
14 Section 2817.3 of this title shall not be included in the
15 capitalization used in the determination of fair market value of
16 such oil refinery if such property would qualify as exempt property
17 pursuant to Section 2902 of this title, whether or not an
18 application for such exemption is made by an otherwise qualifying
19 manufacturing concern owning the property described by Section
20 2817.3 of this title.

21 F. The use value of a lot in any platted addition or a
22 subdivision in a city, town, or county zoned for residential,
23 commercial, industrial, or other use shall be deemed to be the fair
24 cash value of the underlying tract of land platted, divided by the

1 number of lots contained in the platted addition or subdivision
2 until the lot shall have been conveyed to a bona fide purchaser or
3 the lot with building or buildings located thereon shall have been
4 occupied other than as a sales office by the owner thereof, or shall
5 have been leased, whichever event shall first occur. One who
6 purchases a lot for the purposes of constructing and selling a
7 building on such lot shall not be deemed to be a bona fide purchaser
8 for purposes of this section. However, if the lot is held for a
9 period longer than two (2) years before construction, then the
10 assessor may consider the lot to have been conveyed to a bona fide
11 purchaser. The cost of any land or improvements to any real
12 property required to be dedicated to public use including, but not
13 limited to, streets, curbs, gutters, sidewalks, storm or sanitary
14 sewers, utilities, detention or retention ponds, easements, parks,
15 or reserves shall not be utilized by the county assessor in the
16 valuation of any real property for assessment purposes.

17 G. The transfer of real property without a change in its use
18 classification shall not require a reassessment thereof based
19 exclusively upon the sale value of the property. However, if the
20 county assessor determines:

21 1. That by reason of the transfer of a property there is a
22 change in the actual use or classification of the property; or

23 2. That by reason of the amount of the sales consideration it
24 is obvious that the use classification prior to the transfer of the

1 property is not commensurate with and would not justify the amount
2 of the sales consideration of the property~~+~~,
3 then the assessor shall, in either event, reassess the property for
4 the new use classification for which the property is being used, or,
5 the highest and best use classification for which the property may,
6 by reason of the transfer, be classified for use.

7 H. When the term "fair cash value" or the language "fair cash
8 value, estimated at the price it would bring at a fair voluntary
9 sale" is used in the Ad Valorem Tax Code, in connection with and in
10 relation to the assessment of real property, it is defined to mean
11 and shall be given the meaning ascribed and assigned to it in this
12 section and when the term or language is used in the Code in
13 connection with the assessment of personal property it shall be
14 given its ordinary or literal meaning.

15 I. Where any real property is zoned for a use by a proper
16 zoning authority, and the use of the property has not been changed,
17 the use and not zoning shall determine assessment. Any reassessment
18 required shall be effective January 1 following the change in use.
19 Taxable real property need not be listed annually with the county
20 assessor.

21 J. If any real property shall become taxable after January 1 of
22 any year, the county assessor shall assess the same and place it
23 upon the tax rolls for the next ensuing year. When any building is
24 constructed upon land after January 1 of any year, the value of the

1 building shall be added by the county assessor to the assessed
2 valuation of the land upon which the building is constructed at the
3 fair cash value thereof for the next ensuing year. However, after
4 the building has been completed it shall be deemed to have a value
5 for assessment purposes of the fair cash value of the materials used
6 in such building only, until the building and the land on which the
7 building is located shall have been conveyed to a bona fide
8 purchaser or shall have been occupied or used for any purpose other
9 than as a sales office by the owner thereof, or shall have been
10 leased, whichever event shall first occur. The county assessor
11 shall continue to assess the building based upon the fair market
12 value of the materials used therein until the building and land upon
13 which the building is located shall have been conveyed to a bona
14 fide purchaser or is occupied or used for any purpose other than as
15 a sales office by the owner thereof, or is leased, whichever event
16 shall first occur.

17 K. In the event improvements on land or personal property
18 located therein or thereon are destroyed or partially destroyed, or
19 the land itself is impaired or partially impaired by fire,
20 lightning, storm, winds, floodwaters, overflow of streams, or other
21 cause (all such destruction or impairments being referred to herein
22 as "damage") during any year, the county assessor shall determine
23 the amount of damage and shall reassess the property for that year
24 at the fair cash value of the property, taking into account the

1 actual loss of functional use of the property occasioned by such
2 damage. The assessor shall make the appropriate value adjustments
3 to the property for that tax year up to the time at which the
4 assessor publishes the "Assessor's Report to the Excise Board" as
5 required by subsection D of Section 2867 of this title. After such
6 time, adjustments can be made only by the county board of tax roll
7 corrections and only after the assessor has certified the tax roll
8 for that year. The board secretary shall notify property owners in
9 advance of the time and place at which the value adjustment to their
10 property will be heard by the board. The board of tax roll
11 corrections is authorized only to approve or reject the value
12 adjustment submitted by the county assessor.

13 L. All taxable personal property used in the exploration of
14 oil, natural gas, or other minerals including drilling equipment and
15 rigs, shall be assessed annually at the value set forth in the first
16 Hadco International monthly bulletin published for the tax year,
17 using the appropriate depth rating assigned to the drawworks by its
18 manufacturer and the actual condition of the rig.

19 M. The value of taxable tangible personal property used in
20 commercial disposal systems of waste materials from the production
21 of oil and gas shall not include any contract rights or leases for
22 the use of such systems nor any value associated with the wellbore
23 or non-recoverable down-hole material including casing.

24

1 N. For annual assessments conducted on or after January 1,
2 2027, and upon the property being placed on the tax rolls, the
3 valuation method for determining the fair cash value of residential
4 rental housing, as that term is defined in Section 2802 of this
5 title, shall be based exclusively on the cost approach for the first
6 two (2) tax years after the completion of construction or until the
7 property is conveyed to an unrelated third-party bona fide
8 purchaser, whichever occurs first.

9 SECTION 3. This act shall become effective November 1, 2026.

10
11 COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS AND BUDGET, dated
12 04/23/2026 - DO PASS, As Coauthored.